

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 227

 By: Daniels, Paxton, and
 Stanley of the Senate

6 and

7 Moore of the House

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10 An Act relating to gross production tax; amending 68
11 O.S. 2021, Section 1001.1, which relates to property
12 exempt from ad valorem tax as used in the production
13 of material subject to gross production tax;
 expanding exempt property; updating statutory
 references; updating statutory language; and
 providing an effective date.

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16 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

17 SECTION 1. AMENDATORY 68 O.S. 2021, Section 1001.1, is
18 amended to read as follows:

19 Section 1001.1. A. The Oklahoma Tax Commission shall adopt
20 rules and regulations which establish guidelines for the
21 determination of property exempt from ad valorem taxation pursuant
22 to the provisions of subsections ~~G~~ K and ~~H~~ L of Section 1001 of this
23 title. ~~Said~~ Such guidelines shall include, but are not limited to,
24 the following terms:

1 1. "Producing leases" means wells or leases or production units
2 which have had production during any of the previous three (3)
3 calendar years which is subject to the gross production tax levied
4 by Section 1001 of this title and which have not been abandoned or
5 required to be plugged as required by law on or before January 1 of
6 the year for which the assessment or valuation is made; and

7 2. "Payment of gross production tax" means payment of the tax
8 levied by Section 1001 of this title on production during any of the
9 three (3) calendar years immediately prior to January 1 of the year
10 for which the assessment or valuation is made; ~~and~~.

11 ~~3.~~ B. Property exempt from ad valorem tax pursuant to the
12 provisions of subsections ~~G~~ K and ~~H~~ L of Section 1001 of this title
13 shall include, but is not limited to ~~T~~:

14 ~~lease~~ 1. Lease production tanks, ~~lease~~;

15 2. Lease production meters ~~T~~;

16 3. Flowlines and gathering lines going from the wellhead either
17 to the first sales meter that is the point of custody transfer or to
18 the boundary of the production unit, whichever distance is shorter;
19 and

20 ~~disposal~~ 4. Disposal systems, including all materials and
21 equipment of disposal systems and the lines transporting the waste
22 materials, serving one or more wells, ~~which are not for commercial~~
23 ~~purposes~~. Provided, the exemption shall include the wellbore and
24 non-recoverable down-hole material, including casing, actually used

1 in the commercial disposal of waste materials produced with such oil
2 or gas.

3 ~~Such exempt property C.~~ The property exempt pursuant to this
4 section and subsections K and L of Section 1001 of this title shall
5 remain exempt as long as the property is essential to the production
6 of oil and gas in commercial quantities. The county assessor shall
7 be notified when such property becomes nonexempt.

8 SECTION 2. This act shall become effective January 1, 2027.

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10 COMMITTEE REPORT BY: COMMITTEE ON RULES, dated 04/06/2026 - DO PASS,
11 As Coauthored.

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